Alignment Healthcare (ALHC)

The market charges nothing for the lost star. The growth premium is nearly gone, my estimates are consensus, and Q3 decides the rating.

Thesis in three lines

1. My 2027 numbers match consensus: adjusted EBITDA $205.6m against $205.9m. I have no estimate edge, and I say so.

2. Counted the way peers count it, after stock pay, 2027 EBITDA is $129m and on 215.0m diluted shares the stock trades at 11.2x against a 10.7x peer median (21 Oct prices). The growth premium is nearly gone. A 2027 multiple does not see the 2028 bonus loss, so nothing is deducted for the star: of the $1.25 between price and my $7.20, $0.98 is the star.

3. The DCF says the price assumes a long-run margin after stock pay of about 2.1%, close to my 2027. Any lasting improvement is upside. Alignment's own seasonal pattern and the first two peer prints argue the Q3 print on 29 October beats my low-end estimate. That is why this is a Hold with a negative skew and not a Sell.

Pre-set rules for the 29 October print

Upgrade to Sell if the Q3 adjusted MBR is 88.5% or higher, prior-year claims develop unfavorably for a second quarter, or full-year adjusted EBITDA guidance is cut below $145m. Move toward Buy if the Q3 adjusted MBR is 87.0% or lower with guidance raised. My Q3 estimates are written down in the public repository before the print.

Catalysts and dates

Date	Event	What to watch
21 Oct	Elevance Q3	MA cost trend: inpatient, nursing homes, Part D
27 Oct	Centene Q3	Same; Part D redesign year two
29 Oct	Alignment Q3	Adj. MBR vs 88.7% (mine); prior-year development; FY guide
6 Nov	Humana Q3	MA trend; 2027 margin outlook
7 Dec	Enrollment period ends	Read-through to January membership
Early 2027	CMS monthly enrollment, January 2027	First hard read on 2027 growth by contract (H3815, H6697)
Feb 2027	Alignment FY2026 results and 2027 guidance	Guided MBR vs my 87.8%
Oct 2027	CMS 2028 Star Ratings	Whether H3815 gets back to 4 stars

Risks to the rating

Upside: a Q3 MBR near Alignment's seasonal pattern (about 86.9%), the market keeping its convention of valuing earnings before stock pay ($11.01), or margins after stock pay reaching 3% (DCF $13.32). Downside: each point of 2027 MBR is $3.23 a share; regulated cash treated as trapped gives $4.56; a full-year guide cut; RADV extrapolation, which is undisclosed.

Rating	HOLD (negative skew)
Prior draft (unpublished)	Sell, PT $7.10
Price (21 Oct close)	$8.45
12-month price target	$7.20 (-15%)
Primary method	Peer EV/EBITDA, 2027
Market cap (diluted)	$1.82bn
Enterprise value	$1.45bn
Diluted shares	215.0m
Net cash (consolidated)	$372m
Parent cash / notes	$135m / $330m
Short interest	11.7% of float
Days to cover	2.2
Borrow fee	0.25%
Street mean target	$13.31 (13)
Street ratings	10 Buy, 4 Hold, 0 Sell
Beta (5y monthly)	1.14

Estimates ($m except per share)

	25A	26E	27E	28E
Revenue	3,949	5,210	6,475	7,692
Adj. MBR	87.5%	87.9%	87.8%	87.8%
Adj. EBITDA	110	145	206	221
After stock pay	48	77	129	141
Adj. EPS (co.)	n/a	0.45	0.70	0.73
EPS after stock pay*	n/a	0.10	0.27	0.30
EV/EBITDA after SP		18.8x	11.2x	10.3x

*Taxed at 24%, 215.0m shares. 2028 includes a $38.6m expected stars hit. EV $1,445m on diluted shares (21 Oct).

Analyst

Sameer Shahzad
Independent analyst, Istanbul
github.com/brexitmiyagi/alhc-stars-rebuild

What's in the price

	Price / consensus	Mine	Gap
Share price (21 Oct)	$8.45	PT $7.20	-15%
2026 revenue	$5,218m	$5,210m	-0.2%
2027 revenue	$6,506m	$6,475m	-0.5%
2027 adj. EBITDA	$205.9m (S&P)	$205.6m	-0.2%
2027 adj. EPS (company definition)	$0.65 Yahoo / $0.74 S&P	$0.70	inside the range
2027 MBR at which my primary method equals the price	87.44%	87.83%	0.39 pts
Long-run margin after stock pay the DCF needs at $8.45	2.06% (8.9% WACC)	3.0% assumed	+0.9 pts
Street 12-month target	$13.31 mean, $11 median	$7.20	

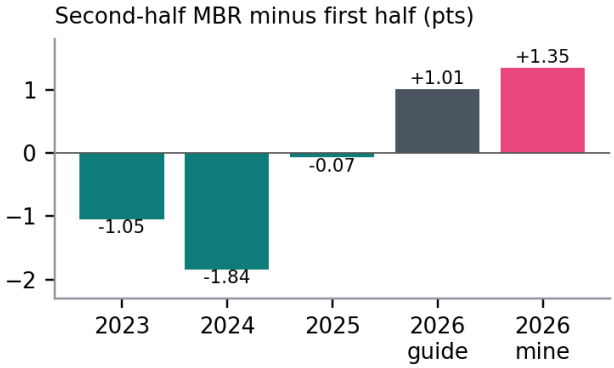
I have no estimate edge on 2027. My numbers sit within half a percent of consensus on revenue and EBITDA. What separates my value from the Street's $13 targets is how those earnings are counted and what multiple they get, so the note is built around that.

Why Hold rather than Sell

The primary method gives $7.20 and the stock is at $8.45, which on its own would be a Sell. Three things stop me. First, the estimates are consensus, so a Sell would rest on a valuation convention, and the market currently uses the other one. Second, Alignment's own history argues for a better Q3 than mine: in 2023, 2024 and 2025 its second-half cost ratio came in 1.05, 1.84 and 0.07 points below the first half, while guidance implies about 1.0 point above this year and my estimate 1.35. If Q3 follows 2025's shape it prints about 86.9% adjusted, against my 88.7%. The first peer prints point the same way: UnitedHealth's medical care ratio was 88.4% against 89.9% a year earlier, and Elevance's benefit expense ratio improved 70 basis points to 90.6%, credited to better Medicare Advantage performance. Third, when I ran my cost-ratio bridge on past years it missed 2026 by 2.6 points, so my 87.8% for 2027 carries at least a point of error either way. The negative skew is real; the evidence for a Sell today is not strong enough.

Why the skew is negative

On EBITDA after stock pay and diluted shares the stock now trades at 11.2x against a 10.7x peer median, so it barely pays for growth. At the end of 2024 it traded at 18.3x next-year adjusted EBITDA before stock pay and at the end of 2025 at 25.9x; on 21 October it was 6.7x on that basis. Stock pay was 1.57% of revenue in 2025, roughly ten times the peers, and weighted basic shares rose 8.7% in two years. The 2027 bridge points to a cost ratio about 0.4 points worse than the level at which my primary method equals the price, and the guidance arithmetic is tight: on 2025's Q4-to-Q3 shape, holding the $145m low end needs a Q3 of about $29m, near the top of the $20m to $30m range.



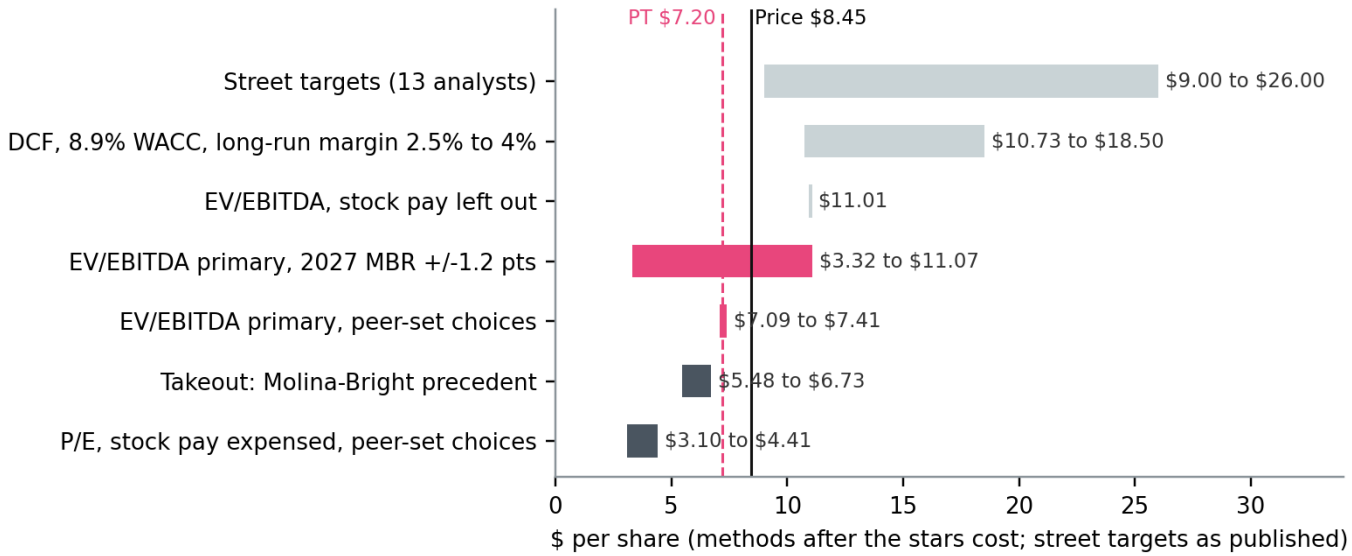
Source: Alignment 10-Q and 10-K statements (GAAP, 2023 to 2025); Q2 2026 release guidance and my quarters (adjusted, 2026).

Valuation

Primary method: peer-median forward EV/EBITDA on 2027, with EBITDA after stock pay and cash netted the way the peers' enterprise values net it. Managed care is usually valued on P/E, but Alignment's 2027 earnings after stock pay are $0.27 a share at a 2% margin, which makes P/E unstable; EV/EBITDA is the convention for low-margin Medicare Advantage growth names and handles the large cash float consistently.

Step	Value
Peer-median 2027 EV/EBITDA (S&P Global consensus EBITDA; consolidated net debt end-2025; prices 21 Oct)	10.73x
Alignment 2027 adj. EBITDA, my model (consensus $205.9m)	$205.6m
Less stock pay (peers' EBITDA is after it)	-$76.3m
EBITDA after stock pay	$129.3m
Enterprise value at the peer multiple	$1,387m
Plus net cash: $701.7m cash and short-term investments less $330m notes (30 Jun 2026)	+$372m
Equity value / 215.0m diluted shares	$8.18
Less stars cost (8.90% WACC; 2028-2030 rebates, tenure-weighted members)	-$0.98
12-month price target	$7.20

Cross-checks



Check	Value	Note
Peer P/E 14.8x on EPS after stock pay $0.274 + NOLs $0.46	$3.55	Low because 2027 is a 2% margin year
DCF, WACC 8.90%, long-run margin 3.0%	$13.32	Price implies 2.06%; 7.38% WACC $18.84, 9.75% $11.34
Same multiple, stock pay left out	$11.01	Alignment's and consensus's convention
Molina-Bright precedent (Jan 2024): $4,587/member, 0.32x revenue	$5.48 to $6.73	Distressed seller; $110m contingent on Part D stars
Peer set without CVS and Cigna / without Humana and Molina	$7.41 / $7.09	P/E $4.41 / $3.10
Cash: parent plus dividend capacity / parent only	$4.90 / $4.56	Inconsistent with how peers are measured

The DCF counts only cash free of claims and capital rules (parent cash plus the $72.9m the subsidiaries can pay without approval), because claims cash arrives with premiums and leaves with claims and sits in working capital. The multiple method nets all cash because the peers' enterprise values do. Peer net debt is at end-2025 while Alignment's cash is at June 2026; peer P/E uses Yahoo consensus and EV/EBITDA uses S&P; Global consensus via MarketScreener, with page dates from 15 September to 16 October; prices rolled to the 21 October close and consensus rechecked on 22 October (unchanged).

Discount rate and scenarios

Input	Value	Source
Risk-free rate	5.15%	10-year Treasury, FRED DGS10, 19 Oct 2026 (latest)
Equity risk premium	4.20%	Damodaran implied ERP, 1 Oct 2026
Beta: Alignment / peer median	1.14 / 0.71	Yahoo 5-year monthly; my 2-year weekly gives 0.49
Cost of debt	4.25% pre-tax	4.25% convertible notes due 2029
Equity weight	84%	Market cap at 215.0m shares vs $330m notes
WACC: peer beta / Alignment beta / plus 1% size premium	7.38% / 8.90% / 9.75%	Base 8.90%

2027 MBR case	MBR	Target
Bear (symmetric, +1.2 pts)	89.03%	$3.32
Base	87.83%	$7.20
Bull (symmetric, -1.2 pts)	86.63%	$11.07
25/50/25 weighted, symmetric		$7.20
Bridge's own cases (+1.53 / -0.84 pts), weighted		$6.64
One point of 2027 MBR		$3.23 a share

The bridge's own cases are asymmetric because its bear case lets cost trend run 0.6 points hot with nothing matching on the bull side. With symmetric cases the weighted value equals the base, so the weighting no longer tilts the answer.

Financial summary

Line	2025A	2026E	2027E	2028E
Members, year end (k)	236.3	299.5	353.4	406.4
Revenue ($m)	3,949	5,210	6,475	7,692
Revenue growth		31.9%	24.3%	18.8%
Adj. MBR	87.5%	87.9%	87.8%	87.8%
Adj. gross profit ($m)	495	631	788	937
Adj. SG&A ratio		9.3%	9.0%	8.8%
Adj. EBITDA ($m)	109.9	145.2	205.6	221.0
Adj. EBITDA margin	2.78%	2.79%	3.17%	2.87%
Stock pay ($m)	62.1	68.5	76.3	80.1
EBITDA after stock pay ($m)	47.8	76.7	129.3	140.9
Margin after stock pay	1.21%	1.47%	2.00%	1.83%
D&A ($m)	30.4	31.4	34.6	38.0
Interest ($m)	15.8	16.9	17.1	17.1
Pre-tax income, approx. GAAP ($m)	-1.0	27.9	77.6	85.8
Net income ($m)	-0.7	26.6	75.3	83.2
Adj. EPS, company definition ($)		0.45	0.70	0.73
GAAP EPS ($)	0.00	0.12	0.34	0.37
EPS after stock pay, taxed 24%, 215.0m shares ($)		0.10	0.27	0.30
Cash and equivalents ($m)	576	720	919	1,132
Total assets ($m)	1,066	1,306	1,613	1,929
Medical expenses payable ($m)	475	624	770	912
Days claims payable	50.1	49.7	49.4	49.3
Convertible notes, carrying ($m)	323	325	327	330
Stockholders' equity ($m)	179	280	432	595
Cash from operations ($m)	140	156	235	249
Capital expenditure ($m; 2026E second half only)	27	18	36	36
Cash per share, consolidated ($)	2.82	3.35	4.27	5.26

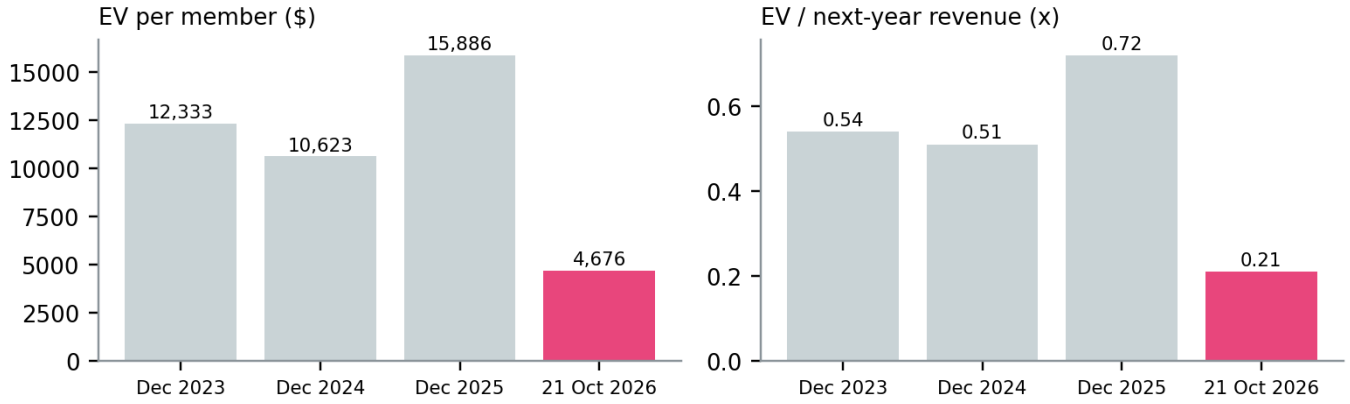
2025 actual from the FY2025 10-K and the Q4 2025 release; 2026 to 2028 from model/ALHC_model.xlsx. 2026 cash from operations is the first-half actual ($111.4m) plus my second half.

Estimates against consensus

Line	Mine	Consensus	Difference	Source
Revenue 2026E ($m)	5,210.0	5,217.9	-0.2%	Yahoo, 17 Oct (11 analysts)
Revenue 2027E ($m)	6,475.5	6,505.7	-0.5%	Yahoo, 17 Oct
Adj. EBITDA 2026E ($m)	145.2	148.3	-2.1%	S&P Global via MarketScreener
Adj. EBITDA 2027E ($m)	205.6	205.9	-0.2%	S&P Global via MarketScreener
Adj. EBITDA 2028E ($m)	221.0	224.6	-1.6%	S&P Global via MarketScreener
Adj. EPS 2026E ($)	0.449	0.453	-0.7%	Yahoo, 17 Oct
Adj. EPS 2027E ($)	0.697	0.650	+7.2%	Yahoo, 17 Oct (S&P 0.74, 9 Oct)
Q3 2026 adj. EPS ($)	0.037	0.043	-14.1%	Yahoo, 17 Oct (4 analysts)
Q3 2026 revenue ($m)	1,310.0	1,313.1	-0.2%	Yahoo, 17 Oct (11 analysts)

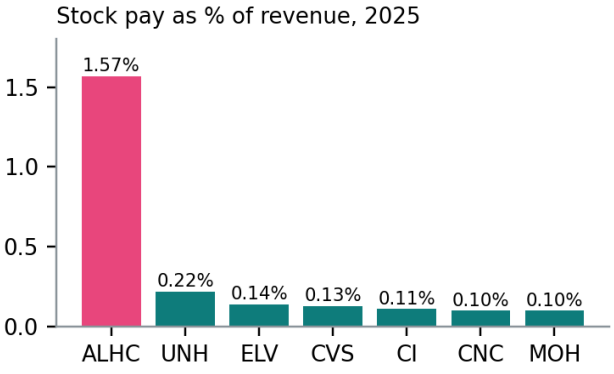
2028 adjusted EBITDA is after my $38.6m expected stars hit; consensus may not include it.

Valuation history



EV = price x shares + debt - cash - short-term investments at each date; next-year revenue is the following year's actual (2024, 2025) or my estimate (2026, 2027). On next-year adjusted EBITDA before stock pay: 18.3x at end-2024, 25.9x at end-2025, 6.7x on 21 October. After stock pay, on 215.0m diluted shares, 11.2x against a 10.7x peer median. Forward consensus history is not available free, so these are realized or estimated next-year figures, not historical consensus.

Stock pay and dilution



Stock pay was $62.1m in 2025, 1.57% of revenue, against 0.10% to 0.22% at the peers (Humana not available in XBRL). Weighted basic shares went from 190.9m in Q2 2024 to 207.4m in Q2 2026, up 8.7%, with 215.0m diluted. I expense stock pay and hold shares at 215.0m so it is counted once.

Positioning

Measure	Value	Source
Short interest (30 Sep 2026)	23.6m shares, 11.7% of float (prior 22.8m)	Yahoo; finviz 11.9%
Days to cover	2.2	Yahoo; finviz 2.9
Borrow fee / available	0.25% / 6.9m shares	IBorrowDesk (Interactive Brokers), 16 Oct
Street ratings	3 strong buy, 7 buy, 4 hold, 0 sell	Yahoo recommendation trend
Street targets	Mean $13.31, median $11, range $9 to $26 (13 analysts)	Yahoo; finviz $13.31
Ownership	Institutions 438 holders (reported over 100%); insiders 2.6%	Yahoo; finviz insiders 4.4%

The 2027 cost ratio, and how far to trust it

Step	Bear	Base	Bull
2026E MBR (model)	87.88%	87.88%	87.88%
Member maturity (half credit in base)	0.00	-0.50	-1.00
Rate (4.98%) vs effective growth rate (5.33%)	+0.80	+0.29	+0.29
2027 benefit design	0.00	-0.20	-0.20
Second-half 2026 pressure carried	+0.66	+0.33	0.00
2027E MBR	89.34%	87.81%	86.98%

Backtest of the same method	Maturity	Rate vs trend	Carry	Predicted	Actual
2025 (vs 2024)	+0.06	-1.22	-0.45	-1.61	-1.40
2026 (vs 2025, guidance-based)	-0.45	+3.48	-0.02	+3.01	+0.38

The bridge got 2025 within 0.2 points and missed 2026 by 2.6, because CMS's 9.04% effective growth rate for 2026 was a catch-up in benchmarks, not a jump in Alignment's costs. For 2027 the rate-versus-trend term is small (+0.29), so most of the risk sits in maturity and the carry, but the backtest says to treat 87.8% as roughly plus or minus a point. Inputs: CMS rate announcements for 2025 (3.70%, growth rate 2.33%), 2026 (5.06%, 9.04%) and 2027 (4.98%, 5.33%); year-end members 119.2k, 189.1k, 236.3k and 299.5k guided.

2026 guidance arithmetic

Q3 adj. EBITDA	Q4 needed for the $145m low end	FY if Q4 = 0.35x Q3 (2025 shape)
$15m	$24.0m	$126.3m
$20m (mine)	$19.0m	$133.0m
$25m	$14.0m	$139.8m
$30m	$9.0m	$146.5m
$35m	$4.0m	$153.3m

First-half adjusted EBITDA was $106.0m, so the second half needs $39m to $57m for the $145m to $163m range. In 2025 Q4 adjusted EBITDA ($11.4m) was 0.35 times Q3 ($32.4m). If that shape repeats, the low end needs a Q3 of about $28.9m.

Peer read-through: what each print tests

Peer, date	Bridge term it tests	Reads against my bridge if	Reads for it if
UnitedHealth, 13 Oct (reported)	Trend and the carry	MCR 88.4% vs 89.9% a year ago and $610m favorable development: it already reads against me	
Elevance, 21 Oct (reported)	Trend: inpatient and nursing homes	Benefit expense ratio 90.6%, 70 bp better, credited to better Medicare Advantage and ACA performance: reads against my carry term	
Centene, 27 Oct	Part D redesign, year two	Part D costs in line with bids	Part D costs above bids, a flatter slope
Humana, 6 Nov	2027 margin outlook (after Alignment)	Guides 2027 MA margin expansion	Flags 2027 trend above the rate notice

Capital

At end-2025 the regulated subsidiaries held $268.5m of regulatory capital against a $116.1m combined minimum (2.3x; 2.1x a year earlier) and could pay the parent $72.9m without approval (FY2025 10-K). Scaled with revenue, the minimum is about $190m in 2027; with my earnings retained, cover holds near 2x. Per-plan statements with California's regulator were not retrievable; a public records request has been drafted.

Contract-level model

Contract	State	Members Oct 2026	Share	2027 stars	Bonus in 2028	2027E revenue
H3815 (HMO)	CA	225,609	74.9%	3.5	No: -$133.6m rebate dollars	$4,856m
H5296 (HMO)	NC	33,433	11.1%	4.5	Yes	$727m
H5472 (HMO)	AZ	10,791	3.6%	4.5	Yes	$227m
H3443 (HMO)	AZ	10,685	3.5%	4.0	Yes	$222m
H4961 (PPO)	CA	8,009	2.7%	4.5	Yes	$166m
H9686 (HMO)	NV	6,818	2.3%	4.0	Yes	$153m
H8832 (PPO)	CA	4,945	1.6%	4.0	Yes	$108m
H7074 (PPO)	NC	867	0.3%	too few	No	$17m
H6697 (new 2027)	CA	0		new	No (parent avg 3.71)	
Total		301,157	100%		25% of members	$6,475m

CMS Monthly Enrollment by Contract (October 2026), 2027 Star Ratings and 2027 rate book; revenue allocated by members x county benchmark (scripts/contract_model.py, model/ALHC_contract_model.xlsx). Contracts outside California grew 83% from February 2025 to February 2026; H3815 grew 21%.

Risks to the price target

Risk	Direction	Size
Q3 adj. MBR near the seasonal pattern (about 86.9%) removes the carry in the bridge	Up	+$1.07 (0.33 pts)
Market keeps valuing earnings before stock pay	Up	PT $11.01
Margins after stock pay reach 3% for good (DCF)	Up	$13.32
2027-ratings lawsuit win restores H3815's bonus	Up	+$0.36
Strategic bid above the Bright precedent	Up	not modeled
Each point of 2027 MBR above 87.8%	Down	-$3.23
Regulated cash treated as trapped	Down	$4.56
Full-year guide cut below $145m (Q3 under about $29m on 2025's shape)	Down	triggers Sell
RADV extrapolation upheld on appeal (PY2019 audit of H3815 under way)	Down	undisclosed
P/E becomes the market's method at a 2% margin	Down	$3.55

Disclosures and certification

I, Sameer Shahzad, certify that the views here are my own and that I have received no compensation related to the views in this note. My position in ALHC, if any, is disclosed with the published article on Seeking Alpha. I am not a registered investment adviser or broker-dealer, and this is research commentary, not investment advice or a recommendation to any person. Ratings: Buy, Hold, Sell on 12-month total return relative to the S&P; 500; Hold carries a stated skew. Data and model: github.com/brexitmiyagi/alhc-stars-rebuild. Drafting and data work used AI assistance; every figure was checked against the cited primary source on 17 October 2026.

Sources (accessed 17 to 22 October 2026)

Alignment Healthcare 10-K FY2025 and 10-Qs 2024 to 2026 (SEC EDGAR, XBRL R pages and companyconcept API); Q4 2025 and Q2 2026 earnings releases; CMS Star Ratings, Plan Payment Data, Landscape files and Rate Announcements 2025 to 2027; MarketScreener (S&P; Global consensus) for peer EBITDA and net debt; Yahoo Finance for prices, consensus EPS, betas, short interest and Street targets; finviz; IBorrowDesk; FRED DGS10; Damodaran implied ERP; Bright Health 8-K Ex 99.1 (5 Jan 2024) and Molina 8-K (2 Jan 2024).

May move before use: the share price and peer prices; consensus (Elevance reports 21 Oct, Centene 27 Oct); short interest (next settlement); and everything after Alignment's Q3 on 29 October.